Tesla, Inc.

TSLA NASDAQ

Hold	$371.92 ▼ 0.71%	12M Price Target $420.00	52-Week Range $297.38 – $498.83	Market Cap $1.47T

TSLA: Drifting as EV Credit Expiration Bites Demand

WHAT HAPPENED

- Quiet tape — stock drifted down 0.7% on light volume (25M vs recent 40-50M), which actually tells you something: the pop to $386 earlier this week had no follow-through, and buyers aren't stepping in to defend it. That's digestion after a run, not conviction.
- Options flow is sending a mixed-but-leaning-cautious signal — huge unusual put activity at the $372.50 and $375 strikes (nearly 40x normal open interest) suggests big money is buying downside protection right at current levels. Someone is bracing for a drop.

WHY IT MATTERS

Here's what the tape is really saying: TSLA ran hard into Tuesday, earnings-adjacent enthusiasm faded, and now smart money is paying up for puts right at the money — translation, hedge funds think $370 might not hold. The bigger picture is that the $7,500 federal EV tax credit expired September 30 under the One Big Beautiful Bill Act, and Q3 US deliveries were pulled forward to beat that deadline — meaning Q4 is going to look ugly on the demand side and the market knows it. The reason the stock isn't cratering is the AI/Optimus/Robotaxi narrative, which Musk is leaning on harder than ever because the core auto business just lost its government subsidy crutch. Watch for the stock to trade like a story stock, not a car company — any Robotaxi expansion headline moves it 5%, any delivery miss moves it 5% the other way.

POLICY & POLITICAL WATCH

The big one is already done and it's a headwind: the federal EV tax credit died September 30, 2026, and Tesla doesn't get it back. Separately, the Trump administration's tariff posture is a double-edged sword — tariffs on Chinese EVs (BYD, etc.) protect Tesla's US market share, but tariffs on Chinese battery materials and components raise Tesla's own cost of goods. Watch two things: (1) any NHTSA regulatory action on Full Self-Driving after recent crash investigations — a crackdown here hits the Robotaxi thesis directly, and (2) state-level permitting for Robotaxi expansion in Texas, Nevada, and Arizona, which is where the next leg of the AI story has to be proven.

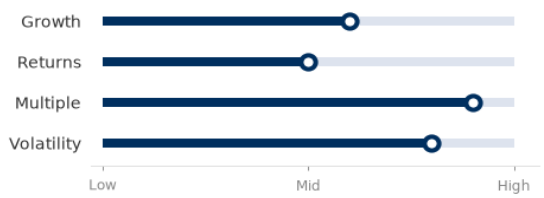
IS IT EXPENSIVE?

At $372, you're paying roughly 173x next year's earnings — meaning investors are shelling out $173 for every $1 of profit Tesla is expected to make. For context, Toyota trades around 10x and Ford around 7x. That premium only makes sense if you believe Robotaxi and Optimus turn into real multi-hundred-billion-dollar businesses — if Tesla is "just" a car company in 2027, this stock is worth maybe $150, not $372.

Key Data

Price (USD)	**$371.92**
12M Price Target	**$420.00**
Upside / (Downside)	**+12.9%**
Market Cap	**$1.47T**
FY2026E Revenue	**$112M**
FY2027E Revenue	**$135M**
FY2026E EPS	**$2.15**
FY2027E EPS	**$2.95**
Fwd P/E	**173.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$410.00**	$375.00	**$340.00**
6 Months	**$475.00**	$390.00	**$310.00**
1 Year	**$525.00**	$420.00	**$290.00**
2 Years	**$650.00**	$450.00	**$250.00**
5 Years	**$900.00**	$550.00	**$200.00**
10 Years	**$1500.00**	$700.00	**$150.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.66% today) — oil prices firming on Middle East tension and OPEC discipline, which ironically is a mild tailwind for EV demand longer-term but doesn't help TSLA today. Tech is flat-to-up as AI capex spending keeps rolling.

COOLING OFF: Healthcare (-1.04%) and Utilities (-0.94%) — defensive sectors are being sold, which usually means risk appetite is okay but not great. Materials weak suggests China demand concerns resurfacing.

ROTATION WATCH: Money is moving toward Energy and away from rate-sensitive defensives — that's a "higher for longer" rates signal, which is actually BAD for high-multiple names like TSLA because discount rates matter when 90% of your valuation is terminal value.

RELATED PLAY: If you believe the Robotaxi thesis, the second-order winners are LiDAR/sensor plays and the lithium/battery supply chain (ALB, LAC) — though Tesla uses cameras, not LiDAR, so really the cleaner related play is NVDA for AI compute and semis exposed to autonomy.

WHO'S WINNING IN THIS SPACE?

- RIVN (Rivian): Finally hitting production milestones on R2, and the loss of Tesla's tax credit advantage actually levels the playing field for them
- BYDDY (BYD): Dominating China and expanding into Europe and Latin America while Tesla loses share — the global EV crown is quietly changing hands

TSLA CONTEXT: Tesla is lagging BYD on volume growth and lagging the Mag 7 on YTD performance — it's in no-man's-land, not winning as an auto play and not winning as a pure AI play. That tells me the market is waiting for Musk to pick a lane and prove something concrete on Robotaxi before re-rating higher.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: $340-355 on broader market pullbacks

Time Horizon: 12-24 months (Robotaxi scale-up is the catalyst)

Thesis Invalidation: Robotaxi rollout stalls OR auto gross margin drops below 15%

Hedging: Pair with a legacy automaker short or buy protective puts into earnings

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